

2.3 Managing finance

Subject content	What students need to learn:
2.3.1 Profit	a) Calculation of: - o gross profit - o operating profit - o profit for the year (net profit) b) Statement of comprehensive income (profit and loss account): - o measuring profitability: - calculation of gross profit margin, operating profit margin, and profit for the year (net profit) margin - o ways to improve profitability c) Distinction between profit and cash
2.3.2 Liquidity	a) Statement of financial position (balance sheet): - o measuring liquidity: - calculating current ratio and acid test ratio - o ways to improve liquidity b) Working capital and its management: the importance of cash
2.3.3 Business failure	a) Internal and external causes of business failure: - o financial factors - o non-financial factors